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Case Number: 26NNCV00802 Hearing Date: September 11, 2026 Dept: A

TENTATIVE RULING

SEPTEMBER 11, 2026

DEMURRER

Los

Angeles Superior Court Case # 26NNCV00802

MP: Cross-Defendants

H Badday Regenerative Medicine, Inc. and Hasan Badday, M.D.

RP: Cross-Complainants

Oriternal Medical, LLC, Xiangdong Zhang, and Wei Wu

NOTICE:

The Court is not requesting oral argument on this matter. The Court is guided by California Rules of Court, Rule 3.1308(a)(1) whereby notice of intent to appear is requested. Unless the Court directs argument in the Tentative Ruling, no argument is required and any party seeking argument should notify all other parties and the court by 4:00 p.m. on the court day before the hearing of the party's intention to appear and argue. The tentative ruling will become the ruling of the court if no argument is received.

Notice may be given either by email at

BurDeptA@LACourt.ca.gov or by telephone at (818) 260-8412.

ALLEGATIONS:

A.

Operative Complaint

Yan Zhao and Tzen LLC ("Plaintiffs"), as member and manager, derivatively on behalf of New Regeneration Management LLC ("Company"), commenced this action against Defendants Oriternal Medical, LLC ("Oriternal"), Xiangdong Zhang ("Tony"), Xinze Zhang ("Arthur"), and Wei Wu, and named Company as a nominal defendant. They bring this action individually for harms suffered as a member and manager of the Company or, alternatively, as a derivative shareholder suit arising from Plaintiffs' rights under the Operating Agreement. (FAC, ¶¶12-13.)

On January 25, 2023, Zhao, Tony, and Boxian Wu formed a regenerative medicine clinic company initially named ADDZ Management LLC, which would be in charge of managing the day-to-day affairs of a regenerative medical clinic (the "clinic"). (FAC, ¶¶18, 20.) They agreed that Zhao would provide her expertise in managing regenerative medicine clinics and invest \$25,000; Boxiang Wu would invest \$200,000; and Tony would contribute the remainder. (Id., ¶18.) When drafting the Operating Agreement, Tony did not want to be listed as a member but placed his membership units under a company (Oriternal) owned by his son, Arthur.

(Id., ¶21.) The Operating Agreement was entered in May 2023 by Plaintiffs, Oriternal, and Boxiang Wu wherein: (1) Tzen would own 10%, Boxiang Wu would own 20%, and Oriternal would own 70% of the membership units; (2) the Company would be manager-managed with Zhao as the manager for the general business affairs with no other member having authority or right to act on the Company's behalf; (3) matters under section 3.02 would require written approval of all members, including: entering into any series of transactions involving the sale of the Company or performing any acts that would make it impossible for the Company to carry out its ordinary business; (4) Oriternal would enter into the lease of the physical store on the Company's behalf; (5) each member was permitted to access the Company's corporate, financial, and similar records, reports, and documents; (6) Plaintiffs and any other sales representatives for the Company were entitled to receive monthly commissions; and (7) the Company's profit and losses for each fiscal year would be allocated among the Members pro rata in accordance with their membership unit ownership percentage. (Id.,

¶¶22-23.)

For nearly two years, Zhao dedicated time and energy into building the business without compensation. (FAC, ¶24.) As the clinic neared opening, individual Defendants began making business decisions that made it impossible for the Company to carry out its ordinary business, despite having no authority under the Operating Agreement. (Id., ¶¶25-27.)

In March and July 2025, Defendants filed a statement of information for the Company listing Oriternal as the sole member and manager and an amendment to the Articles of Organization changing the name from ADDZ Management LLC to New Regeneration Management LLC, without member agreement or voting. (Id., ¶27, Exs. C-D.) Plaintiffs allege Defendants refused to recognize the Operating Agreement's terms, appointed Wei Wu as the Company and clinic's "business manager," and hired several family members without member consent. (Id., ¶27.)

On December 17, 2025, the Company successfully opened, earning over \$100,000 in its first month. (FAC, ¶28.) However, Plaintiffs allege that Tony unilaterally decided to sell the Company and took steps to prevent the Company and clinic from continuing operations, such as: (a) canceling training sessions for employees and temporarily laying off employees without the consent of all the Company's members; (b) sending out appointment cancellation notices to patients scheduled at the clinic; (c) changing passwords for critical accounts needed to operate the business; (d) refusing to allow the clinic to set up a POS system; (e) refusing to return administrative access of the clinic's EMR system back to the clinic as requested; (f) accessing and publicly releasing confidential patient records; and (g) refusing to pay the Company's debts, salaries owed to employees, vendors payments, and monthly equipment payments. (Id., ¶29.)

The First Amended Complaint ("FAC"), filed June 24, 2026, alleges: (1) Breach of Fiduciary Duty; (2) Breach of Contract; (3) Tortious Interference with Contract; (4) Tortious Interference with Economic Relations; (5) Negligent Interference with Economic Relations; (6) Fraud; (7) Accounting; and (8) Declaratory Relief.

B.

Cross-Complaint

On June 3, 2026,

Oriternal, Zhang, and Wu filed a Cross-Complaint (“Oriternal XC”) against Zhao, Tzen, H Badday Regenerative Medicine, Inc. (“HBRM”), and Hasan Badday, M.D. (“Dr. Badday”) for: (1) Declaratory Relief all Cross-Defendants; (2) Breach of Operating Agreement against Plaintiffs; (3) Breach of Management Services Agreement against HBRM; (4) Breach of Fiduciary Duty against Plaintiffs; (5) Aiding and Abetting Breach of Fiduciary Duty against Badday Cross-Defendants; (6) Intentional Interference with Contractual Relations and/or Prospective Economic Relations (Pled in the Alternative) against HBRM Cross-Defendants; (7) Conversion against Plaintiffs and HBRM; (8) Unjust Enrichment/Restitution against all Cross-Defendants; (9) Accounting against all Cross-Defendants; (10) Judicial Dissociation/Expulsion of Member against Tzen; and (11) Constructive Trust against Plaintiffs.

The Cross-Complaint

alleges that New Regeneration Management LLC, f/k/a ADDZ Management LLC (the “Management Company”) was created to provide management service with a regenerative medical clinic, which operated in connection with the Management Company and HBRM. (XC, ¶¶15-16.) The Management Company is governed by the April 26, 2023 Operative Agreement (“OA”).

(Id., ¶17.) Cross-Complainants

allege Zhao and Tzen relied on the OA and Zha’s alleged manager/CEO status to claim authority over the Management Company.

(Id., ¶18.) The Management

Company and HBRM are parties to a written Management Services Agreement (“MSA”) dated February 16, 2023, wherein HBRM is the physician/practice side and ADDZ is the manager. (Id., ¶¶19-20, 22-23.)

Cross-Complainants assert they are not seeking control of the medical portions, but that their claims concern non-medical business operations only. (Id., ¶21.) Cross-Complainants are informed and believe

that Zhao, Tzen, HBRM, and Dr. Badday used the physician-side authority and HBRM’s identity to bypass the agreed OA/MSA management structure and to redirect or control the non-medical business systems. (Id., ¶¶24-31.)

MOTION ON CALENDAR:

On July 29, 2026, HBRM and Dr. Badday (together, “Badday Cross-Defendants”) filed a Demurrer to Oriternal’s Cross-Complaint. On August 28, 2026, Cross-Complainants Oriternal,

Tony, and Wei Wu filed an opposition. On September 3, 2026, Badday Cross-Defendants filed a reply.

LEGAL STANDARD

The grounds for a demurrer must appear on the face of the pleading or from judicially noticeable matters. (C.C.P. § 430.30(a); *Blank v. Kirwan* (1985) 39 Cal. 3d 311, 318.) A demurrer for sufficiency tests whether the complaint states a cause of action. (*Hahn v. Mirda* (2007) 147 Cal.App.4th 740, 747.) The only issue involved in a demurrer hearing is whether the complaint states a cause of action. (*Id.*)

A demurrer assumes the truth of all factual, material allegations properly pled in the challenged pleading. (*Blank, supra*, 39 Cal. 3d at p. 318.) No matter how unlikely or improbable, the plaintiff's allegations must be accepted as true for the purpose of ruling on the demurrer. (*Del E. Webb Corp. v. Structural Materials Co.* (1981) 123 Cal. App. 3d 593, 604.) But this does not include contentions; deductions; conclusions of fact or law alleged in the complaint; facts impossible in law; or allegations contrary to facts of which a court may take judicial notice. (*Blank, supra*, 39 Cal. 3d at 318.)

Pursuant to C.C.P. §§ 430.10(e) and (f), the party against whom a complaint has been filed may demur to the pleading on the grounds that the pleading does not state facts sufficient to constitute a cause of action, or that the pleading is uncertain, ambiguous and/or unintelligible. It is an abuse of discretion to sustain a demurrer without leave to amend if there is a reasonable probability that the defect can be cured by amendment. (*Schifando v. City of Los Angeles* (2003) 31 Cal. 4th 1074, 1082.)

MEET AND CONFER:

C.C.P. §§ 430.41(a) and 435.5(a) require that the moving party meet and confer with the party who filed the pleading that is subject to the demurrer and/or motion to strike. Upon review, the Court finds the meet and confer requirements were met. (See Sparks Decl., ¶¶2-7.)

ANALYSIS:

Badday Cross-Defendants demur to the First, Third, Fifth, Sixth, Seventh, Eighth, and Ninth Causes of Action in Oriternal's Cross-Complaint.

A.

First Cause of Action for Declaratory Relief – Sustained
with Leave to Amend

A cause of action for declaratory relief is a remedy created by C.C.P. § 1060 and it is pleaded if it: (1) sets forth facts showing the existence of an actual controversy relating to the legal rights and duties of the respective parties and (2) requests that the rights and duties be adjudged. (*City of Tiburon v. Northwestern Pac. R.R. Co.* (1970) 4 Cal.App.3d 160, 170; see C.C.P. § 1060 [identifying the remedy of declaratory relief].) If these requirements are met, the Court must declare the rights of the parties whether or not the facts alleged establish that the plaintiff is entitled to a favorable declaration. (*Id.*)

Declaratory relief is a broad remedy, and the rule that a complaint is to be liberally construed is particularly applicable to one for declaratory relief. (*Id.*)

The First Cause of Action alleges that an actual controversy exists between Cross-Complainants and Cross-Defendants concerning their respective rights, duties, and obligations under the Operating Agreement (“OA”), the Management Services Agreement (“MSA”), and related operational arrangements, including issues relating to authority, governance, access to systems and records, and control of business operations and assets. (Oriternal XC, ¶47.) Cross-Complainants seek a declaration that: (1) Zhao and Tzen may not rely on alleged manager or member authority to make unilateral decisions or changes outside the OA, outside the ordinary course of business, or adverse to the interests of the Management Company and its members; (2) HBRM may not use physician-side status, or HBRM accounts, systems, payroll, merchant accounts, POS systems, or EHR/practice-management access to bypass the MSA or impair the Management Company's non-medical business-management rights; and (3) Dr. Badday may not personally authorize, ratify, or assist conduct that bypasses the OA/MSA structure or deprives

Cross-Complainants of non-medical business records, systems, access, payment visibility, or operational information, except to the extent lawfully required to protect physician medical judgment and patient care. (Id., ¶¶48-50.) Cross-Complainants seek declarations concerning: (a) who presently has authority to act for or bind the Management Company; (b) what actions require written approval of all members; (c) whether Zhao may unilaterally alter payroll, banking, merchant accounts, POS, CareCredit, EHR/practice-management administrative access, email/domain credentials, records, vendors, or revenue systems; (d) whether HBRM may process or assume payroll, payment, merchant, CareCredit, or other non-medical business functions in a manner inconsistent with the MSA; and (e) whether Cross-Complainants are entitled to access and preserve records, logs, credentials, bank/merchant records, CareCredit records, payroll records, EHR/POS administrative logs, email/domain administrative logs, and other business records. (Id., ¶51.)

Badday Cross-Defendants argue that the Oriternal Cross-Complaint seeks a declaration that would illegally restrict and interfere with Dr. Badday's medical practice and oversight of the Clinic owned and operated by HBRM. They also argue that Cross-Complainants seek an advisory opinion relating to an alleged breach of the MSA by HBRM, where a matured action for money judgment would fully resolve the disputes.

The Court declines to sustain the demurrer on this basis. At this time, no declaration has been made by the Court that may affect Dr. Badday's medical practice and oversight of the Clinic. A demurrer is a procedurally inappropriate method for disposing of a complaint for declaratory relief. (Lockheed Martin Corp. v. Continental Ins. Co. (2005) 134 Cal. App. 4th 187, 221.) This is based on the reasoning that an order sustaining the demurrer would leave the parties where they were, with no binding determination of their rights, to await an actual breach and ensuing litigation. (Id.) This would defeat a fundamental purpose of declaratory relief, which is to remove uncertainties as to legal rights and duties before breach and without the risks and delays that it involves. (Id.) The object of declaratory relief is not necessarily a beneficial judgment; instead, it is a determination, favorable or unfavorable, that enables the plaintiff to act with safety. (Id.) This reasoning has established the rule that the defendant cannot, on demurrer, attack the merits of the plaintiff's claim (italics added for

emphasis). (Id.) Accordingly, a complaint is sufficient if it shows an actual controversy; it need not show that plaintiff is in the right. (Id.)

Next, Badday Cross-Defendants argue that Cross-Complainants have not identified an actual controversy over their own legal rights and duties such that they lack standing. They contend that Zhang and Wu are not even alleged members of the Management Company, such that they have no conceivable basis to assert claims. In opposition, Cross-Complainants argue that they can allege additional facts regarding standing or, alternatively, no additional facts are necessary because the Cross-Complaint already alleges that the MSA was signed for HBRM by Dr. Badday as medical director and signed for by ADDZ by Zhao, Tony, and Bo Xiong Wu as partners. (Oriternal XC, ¶19.) In the opposition, Cross-Complainants argue that they can allege additional facts regarding derivative claims and to restate entity-injury claims.

Thus, the Court sustains the demurrer to the First Cause of Action with leave to amend so that Cross-Complainants may allege additional facts regarding standing.

B.

Third Cause of Action for Breach of Management Services Agreement – Sustained with Leave to Amend

The elements for breach of contract are:

“(1) the existence of the contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4) the resulting damages to plaintiff.” (Oasis West Realty, LLC v. Goldman (2011) 51 Cal.4th 811, 821.)

In the Third Cause of Action,

Cross-Complainants allege that the MSA is a valid, enforceable, written agreement between HBRM and ADDZ (now New Regeneration) with respect to the management structure. (Oriternal XC, ¶58.) They are informed and believe that the Management Company has performed all conditions, covenants, and promises required under the MSA, or such performance has been excused by Cross-Defendants' conduct. (Id., ¶59.) They allege the MSA requires HBRM to cooperate with the Management Company's non-medical business-management

functions, including functions related to staffing, payroll, accounting, billing, collections, payables, business records, systems, EHR access, payment handling, revenue flow, and operational administration, as well as requires HBRM not to obstruct, disrupt, interfere with, or impair the manager's performance of its duties. (Id., ¶50.) They contend HBRM breached the MSA by: (a) allowing or enabling Zhao to bypass the Management Company's

non-medical business-management rights; (b) processing or attempting to process payroll, payments, merchant transactions, POS transactions, CareCredit transactions, or other business functions outside the agreed management structure; (c) restricting or impairing access to records, EHR/practice-management administrative information, logs, payment records, payroll records, and operational data; (d) using or allowing use of HBRM as a vehicle to reroute revenue, payroll, payment processing, or operational functions; (e) failing to provide or preserve access to books, records, systems, logs, and accounts required for the Management Company to perform its duties; and (f) obstructing, disrupting, interfering with, or impairing the Management Company's performance under the MSA.

(Id., ¶61.) They assert they were damaged, including loss of operational control, lost or diverted revenue, loss of visibility, forensic/accounting costs, restoration costs, and other consequential damages. (Id., ¶62.)

Badday Cross-Defendants argue that the Cross-Complaint identifies the parties to the MSA as HBRM and New Regeneration Management, LLC only. They argue that the Cross-Complaint was not filed by New Regeneration Management, LLC, but instead was filed by Oriternal, Tony, and Wu, and that neither Zhang nor Wu are members of Oriternal. Thus, Badday Cross-Defendants argue that Cross-Complainants lack standing to assert claims against HBRM.

In opposition, Cross-Complainants argue that they have alleged that Tony signed the MSA, such that the demurrer should be overruled as to him. However, Cross-Complainants appear to acknowledge that they can amend the Cross-Complaint to cure any capacity defects. Furthermore, the allegations do not allege any facts showing that HBRM breached any MSA terms as against Tony.

In light of Cross-Complainants' offer to amend the Cross-Complaint, the demurrer to the Third Cause of Action is sustained with leave to amend.

C.

Fifth Cause of Action for Aiding and Abetting Breach of Fiduciary Duty – Sustained with Leave to Amend

The Court of Appeal in *American Master Lease LLC v. Idanta Partners, Ltd.* (2014) 225 Cal.App.4th 1451 outlined two different theories pursuant to which a person may be liable for aiding and abetting a breach of fiduciary duty:

One theory, like conspiracy to breach a fiduciary duty, requires that the aider and abettor owe a fiduciary duty to the victim and requires only that the aider and abettor provide substantial assistance to the person breaching his or her fiduciary duty. [Citations.] On this theory, California law treats aiding and abetting a breach of fiduciary duty and conspiracy to breach a fiduciary duty similarly. Courts impose liability for concerted action that violates the aider and abettor's fiduciary duty. [Citations.] The second theory for imposing liability for aiding and abetting a breach of fiduciary duty arises when the aider and abettor commits an independent tort. [Citations.] This occurs when the aider and abettor makes “ ‘a conscious decision to participate in tortious activity for the purpose of assisting another in performing a wrongful act.’ ” [Citations.]

(*American Master Lease LLC v. Idanta Partners, Ltd.* (2014) 225 Cal.App.4th 1451, 1477 [citations omitted].)

In the Fifth Cause of Action, Cross-Complainants allege that Zhao owed fiduciary duties (as alleged in the Fourth Cause of Action). (Oriternal XC, ¶70.) Cross-Complainants are informed and believe that Badday Cross-Defendants had actual knowledge of Zhao's claimed manager/CEO role, the existence of an internal management dispute, and the OA/MSA structure governing non-medical business operations. (Id., ¶71.) They are informed and believe that Badday Cross-Defendants provided substantial assistance or encouragement to Zhao's breaches by authorizing or enabling Zhao to access, administer, use, or control bank accounts, payment-processing systems, POS systems, CareCredit/payment rails, EHR/practice management systems,

payroll, revenue channels, or clinic operational systems outside the agreed management structure. (Id.,

¶72.) Cross-Complainants believe that

such assistance enabled Zhao and Tzen to bypass the Management Company's non-medical management rights, restrict access to records and systems, and impair the interests of the Management Company and its members. (Id., ¶73.)

A review of the Fifth Cause of Action shows that, under the first theory, Cross-Complainants did not allege whether Badday Cross-Defendants owed Cross-Complainants a fiduciary duty to Cross-Complainants. Next, under the second theory, Cross-Complainants did not allege facts that Badday Cross-Defendants engaged in an independent tort for the purpose of assisting Zhao in performing a wrongful act. In opposition, Cross-Complainants represent that they can allege additional facts, relying on Zhao's FAC allegations that Zhao obtained the Clinic doctor's (or Dr. Badday) authorization to establish the Clinic's bank account herself. (See Opp. at pp.7-8.)

The demurrer to the Fifth Cause of Action is sustained with leave to amend.

D.

Sixth Cause of Action for Intentional Interference

with Contractual Relations and/or Prospective Economic Relations (Pled in the Alternative) – Sustained with Leave to Amend

“The elements

which a plaintiff must plead to state the cause of action for intentional interference with contractual relations are (1) a valid contract between plaintiff and a third party; (2) defendant's knowledge of this contract; (3) defendant's intentional acts designed to induce a breach or disruption of the contractual relationship; (4) actual breach or disruption of the contractual relationship; and (5) resulting damage.”

(Pac Gas & Electric Co. v.

Bear Stearns & Co. (1990) 50 Cal.3d 1118, 1126.)

The elements of

the tort of intentional interference

with prospective economic advantage are: “(1) an economic relationship between the plaintiff and some third party, with the probability of future economic benefit to the plaintiff;

(2) the defendant's knowledge of the relationship; (3) intentional acts on the

part of the defendant designed to disrupt the relationship; (4) actual disruption of the relationship; and (5) economic harm to the plaintiff proximately caused by the acts of the defendant." (Korea Supply Co. v. Lockheed Martin Corp. (2003) 29 Cal.4th 1134, 1153.) "In addition, the plaintiff must allege that the defendant's conduct was wrongful by some measure beyond the fact of the interference itself. [Citation.] In this context, an act is independently wrongful if it is unlawful, that is, if it is proscribed by some constitutional, statutory, regulatory, common law, or other determinable legal standard. [Citation.] The conduct must be independently actionable. The act of interference with prospective economic advantage is not tortious in and of itself, but requires pleading that a defendant has engaged in an act that was independently wrongful in order to distinguish lawful competitive behavior from tortious interference." (Stevenson Real Estate Services, Inc. v. CB Richard Ellis Real Estate Services, Inc. (2006) 138 Cal.App.4th 1215, 1220 [internal quotation marks and citations omitted].)

The Sixth Cause of Action alleges that the OA and MSA are valid and enforceable contracts.

(Oriternal XC,

¶76.) Cross-Complainants are informed

and believe that Badday Cross-Defendants knew of the OA, MSA, and management structure created by those agreements, and that they intentionally engaged in conduct designed to disrupt or impair performance under the OA/MSA, including by enabling Zhao to bypass approval requirements, management rights, access rights, revenue controls, payroll processes, EHR/practice-management access, payment systems, and records obligations. (Id.,

¶¶77-78.) Cross-Complainants are

informed and believe that such conduct caused actual disruption or impairment of the OA and/or MSA, causing them to suffer damages. (Id., ¶¶79-80.) Alternatively, Cross-Complainants assert that to the extent HBRM is determined to be a contracting party to the MSA and therefore not capable of interfering with its own contract, this cause of action is directed at interference with the OA and/or at Dr. Badday to the extent he acted outside any protected agency capacity. (Id., ¶81.)

Badday

Cross-Defendants argue that because HBRM is a party to the MSA, this claim cannot be alleged against a contracting party.

For this reason, the demurrer to the Intentional Inference with Contractual Relations Cause of Action is sustained as brought against HBRM.

Next, Badday

Cross-Defendants argue that Cross-Complainants are not parties to MSA, which was entered between HBRM and the Management Company only. (Oriternal XC, ¶19.) In opposition, Cross-Complainants argue that Oriternal has direct—not derivative—standing to assert this claim. However, Cross-Complainants have not alleged a valid contract or an economic relationship between themselves and a third party to satisfy the elements of this claim as currently alleged.

With respect to the

OA, the Cross-Complaint only alleges that the Management Company is governed by the OA, but makes no further allegations regarding the parties to the OA. (See XC, ¶17.) Thus, to the extent this cause of action relies on the OA's terms, the allegations are uncertain.

The demurrer to the

Sixth Cause of Action is sustained with leave to amend. Additionally, for clarity purposes, Plaintiff should allege the Intentional Interference with Contractual Relations claim separately from the Intentional Interference with Prospective Economic Relations.

E.

Seventh Cause of Action for Conversion – Sustained
with Leave to Amend

The elements for

conversion are: (1) the plaintiff's ownership or right to possession of the property; (2) the defendant's conversion by a wrongful act or disposition of property rights, interfering with plaintiff's possession; and (3) damages. (Lee v. Hanley (2015) 61 Cal.4th 1225, 1240; PCO, Inc.

v. Christensen, Miller, Fink, Jacobs, Glaser, Weil & Shapiro, LLP (2007) 150 Cal.App.4th 384, 395.)

In this cause of action, it

is necessary to show an assumption of control or ownership over the property, or that the alleged converter has applied the property to his own use. (Shopoff & Cavallo LLP v. Hyon (2008) 167 Cal.App.4th 1489, 1507.)

In the Seventh Cause of Action, Cross-Complainants

allege they owned and/or had the immediate right to possess specific property and assets, including medical equipment, computers, patient records, business records, administrative credentials, system access, electronic business data, digital accounts, payment routing access, EHR/POS administrative logs, payroll records, merchant records, and other company property. (XC, ¶83.)

They assert Cross-Defendants wrongfully exercised dominion and control over such property and assets by seizing, withholding, rerouting, controlling, concealing, transferring, impairing, or denying access to the same, without Cross-Complainants' consent. (Id., ¶84.) They are informed and believe that Cross-Defendants wrongfully controlled and exercised dominion over identifiable funds held in merchant accounts and/or other identifiable accounts associated with Cross-Complainants' business operations.

(Id., ¶85.) Cross-Complainants

allegedly owned, possessed, and/or had the immediate right to possess the Removed Property, which constituted specific, identifiable personal property located at the Clinic immediately prior to Zhao's removal of it on May 16, 2026, including medical equipment, computers, patient records, skincare products, vitamins, refrigerated medications, and other business property. (Id., ¶86.) Cross-Complainants contend that by removing the Removed Property from the Clinic without notice to Cross-Complainants or the other owners, and by failing to provide an inventory or disclose the Removed Property's location, Zhao exercised dominion and control over the Removed Property in a manner inconsistent with Cross-Complainants' rights. (Id., ¶87.)

Badday Cross-Defendants argue that Cross-Complainants have not alleged facts regarding their ownership or right to possess the subject property, or facts that HBRM exercised dominion or control.

In opposition, Cross-Complainants request leave to amend to assert HBRM's dominion and to restate the claim derivatively as company-owned property. (Opp. at p.9.)

As such, the demurrer to the Seventh Cause of Action is sustained with leave to amend.

F.

Eighth Cause of Action for Unjust

Enrichment/Restitution – Sustained with Leave to Amend

Under California law, unjust enrichment

is not a cause of action. (Melchior v. New Line Productions, Inc. (2003) 106 Cal. App. 4th 779, 794.) Instead, it is the failure to make restitution under circumstances where it is equitable to do so. (Id.) Unjust enrichment is a general principle, underlying various legal doctrines and remedies, rather than a remedy itself. (Id.) It is synonymous with restitution. (Id.) This is the basis for the general rule in California, which finds that unjust enrichment is not a cause of action, but a claim for restitution. (Hill v. Roll Int'l Corp. (2011) 195 Cal. App. 4th 1295, 1307.)

In opposition, Cross-Complainants request that the Court allow them to restate this claim as a common count claim for money had and received.

The demurrer to the Eighth Cause of Action is sustained because there is no cause of action for unjust enrichment. However, the Court will allow leave to amend so that Cross-Complainants may restate this claim as a claim for common counts.

G.
Ninth Cause of Action for Accounting – Sustained with
Leave to Amend

“A cause of action for an accounting requires a showing that a relationship exists between the plaintiff and defendant that requires an accounting, and that some balance is due the plaintiff that can only be ascertained by an accounting.” (Teselle v. McLoughlin (2009) 173 Cal.App.4th 156, 179.) “An action for accounting is not available where the plaintiff alleges the right to recover a sum certain or a sum that can be made certain by calculation.” (Id.)

In the Ninth Cause of Action, Cross-Complainants allege that the financial transactions at issue are complex and involve records not fully available to Cross-Complainants, including bank accounts, merchant accounts, POS systems, CareCredit/payment rails, cash collections, payroll records, EHR/practice-management records, vendor records, and HBRM-related financial records. (XC, ¶94.) Cross-Complainants contend they invested over \$2,000,000 into the development, buildout, equipment acquisition, lease obligations, staffing, and operational infrastructure of the clinic

business, the accounting and disposition of which is not fully known and requires review of complete financial records.

(Id.) They are informed

and believe that Cross-Defendants possess or control information necessary to determine revenues received, funds diverted, expenses incurred, payroll processed, assets transferred, and benefits retained. (Id., ¶95.) They seek an accounting of all funds, revenues, patient payments, merchant/POS proceeds, CareCredit proceeds, cash, payroll transactions, vendor payments, receivables, and other financial transactions associated with the clinic and Management Company during the relevant period. (Id., ¶96.)

Badday Cross-Defendants argue that the Cross-Complaint lacks facts that they had any relationship with Cross-Complainants, as HBRM and the Management Company are the only parties to the MSA. In opposition, Cross-Complainants argue that they can state this claim derivatively. As such, the Court sustains the demurrer to the Ninth Cause of Action with leave to amend.

RULING:

In the event a party requests a signed order or the court in its discretion elects to sign a formal order, the following form will be either electronically signed or signed in hard copy and entered into the court's records.

ORDER

Cross-Defendants H

Badday Regenerative Medicine, Inc. and Hasan Badday, M.D.'s Demurrer came on regularly for hearing on September 11, 2026, with appearances/submissions as noted in the minute order for said hearing, and the court, being fully advised in the premises, did then and there rule as follows:

The

Demurrer to the CROSS-complaint is SUSTAINED WITH 30 DAYS' LEAVE TO AMEND AS TO THE FIRST, THIRD, FIFTH, SIXTH, Seventh, Eighth, AND NINTH CAUSES OF ACTION.

CROSS-Defendant
HBRM TO GIVE NOTICE.

IT IS SO ORDERED.